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Marriott's Profit Rises 2.9%

CEO says leisure travel remained robust and group business performed well

By Tess Stynes

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The Marriott Hotel in Warsaw. The U.S. company reported earnings Wednesday and, excluding currency effects, global revenue per available room rose 2.9%. EUROPEAN PRESSPHOTO AGENCY

Marriott International Inc. MAR **-0.79%** ▼ said its second-quarter earnings rose 2.9% as the lodging company nears the close of its pending deal for Starwood Hotels & Resorts Worldwide Inc.

The Bethesda, Md., company's planned acquisition of Starwood had been stalled by a bidding war with Chinese insurance firm Anbang Insurance Co., which ultimately walked away from its an unsolicited takeover offer for Starwood after bidding as much as \$14 billion.

Chief Executive Arne M. Sorenson said in prepared remarks that while hotel performance in the latest quarter reflected generally slower economic growth, leisure travel demand remained robust and group business performed well. Attendance at group meetings was on track during the quarter, group cancellations remained low and the company continues to see strong group bookings, he said.

Over all, Marriott reported a profit of \$247 million, or 96 cents a share, down from \$240 million, or 87 cents a share, a year earlier. Excluding expenses related to the Starwood deal and other items, adjusted per-share earnings were \$1.03. The company had forecast per-share profit of 96 cents to \$1.

Revenue increased 5.8% to \$3.9 billion, matching analysts' expectations.

Excluding currency effects, global revenue per available room rose 2.9%.

On Tuesday, Starwood reported that it swung to a loss in the latest quarter, hurt by a large adjustment charge recognizing foreign-exchange effects on its historical hotel operations in Italy.

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